ECONOMIC SURVEYS

AUSTRIA

I. 2. B. 4.

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS MAY 1965

BASIC STATISTICS OF AUSTRIA

THE LAND

Area (thousand km²)	84
Agricultural area (thousand km²)	41
Exploited forest area (thousand km²)	32
Major cities, March 1961 (thousands of inhabitants):	
Vienna	1,627
Graz	237
Linz	196
Salzburg	108
Innsbruck	101

THE PEOPLE

Population, 1963	7,172,100
— per km²	86
Net natural increase in population, annual average 1961-63	43,840
— per 1,000 inhabitants	6.2
Net immigration, annual average 1961-63	750
Total employment,[1] monthly average 1964	2,363,780
— in industry	606,200

PRODUCTION

Gross national product, 1964 (sch. billion)	220
— per head (U.S. $)	1,179
Gross fixed investment, average 1962-64 :	
— per cent of GNP	24
— per head (U.S. $)	260
Industrial origin of GNP at market prices, 1964 (per cent):	
— Agriculture	9
— Industry	41
— Construction	9
— Services	40
Home food production, 1963 (per cent of total food availability)	83

THE GOVERNMENT

Public consumption, 1964 (per cent of GNP)	14
General Government current revenue, 1963 (per cent of GNP)	35
Federal Government debt, end 1964 (per cent of Federal Government revenue)	47
Composition of Federal Parliament May 1965:	
Austrian People's Party	81
Socialist Party	76
Freedom Party	8

Last election: 1962.
Next election: 1966.

LIVING STANDARDS

Calories per head, per day 1962-63	2,970
Weekly gross earnings of industrial workers in Vienna, 1964 (sch.)	679
Food expenditure in 1963 (in percent of total expenditure in worker household)	39.5
Number of passenger cars in use, end 1963 (per 1,000 inhabitants)	88
Number of telephones, end 1963 (per 1,000 inhabitants)	121
Number of radio sets, end 1963 (per 1,000 inhabitants)	300
Number of television sets, end 1963 (per 1,000 inhabitants)	66

FOREIGN TRADE

EXPORTS:	
Exports of goods, and services 1962-64 (per cent of GNP)	25
Exports, 1964 (per cent of total merchandise exports):	
— Food, tobacco, beverages	4
— Raw materials and energy	17
— Chemicals	5
— Machinery and transport equipment	20
— Other finished and semi-manufactured products	54
IMPORTS:	
Imports of goods and services, 1962-64 (per cent of GNP) average	25
Imports, 1964 (per cent of total merchandise imports):	
— Food, tobacco, beverages	12
— Raw materials and energy	20
— Chemicals	9
— Machinery and transport equipment	30
— Other finished and semi-manufactured products	29

THE CURRENCY

Monetary unit: Schilling.

Currency units per U.S. dollar: 26.

1. Wage and salary earners.

ECONOMIC SURVEYS BY THE OECD

AUSTRIA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

Developments in the Austrian economy during 1964 were generally favourable and the outlook for production, employment and the balance of payments in the current year is good. There is, however, danger that the acceleration of the price and wage rise, experienced last year, will continue. After a review of recent developments and short-term prospects, this survey examines in Part II the policy measures adopted last year, and those required in 1965 if cost and price developments are to be kept under control. This part also considers the action which the Government has taken to deal with certain longer-term problems, particularly in the field of monetary policy, and summarises the policy recommendations put forward by the Advisory Council for Economic and Social Questions.

I. RECENT DEVELOPMENTS AND SHORT-TERM PROSPECTS

In 1964 real gross national product rose by 6 per cent and internal demand by 6.4 per cent, much faster than in 1963. The outlook for both aggregate demand and supply points to some slowdown of the expansion in 1965. Last year's tendency towards a contraction of the overall balance of payments surplus is likely to reverse itself. The price rise can be expected to remain fairly steep.

Investment

Total gross fixed asset formation will probably increase at about the same rate as in 1964, with some change in the pattern. The revival of investment activity in 1964 was concentrated on building, agriculture, commerce and certain other services, and importantly assisted by public spending. In 1965 the growth of investment in most of these sectors may slow down. In contrast, capital expenditure by industry, which had fallen in 1962 and 1963 and remained stable last year, is likely to recover.

According to an enquiry conducted by the Austrian Institute for Economic Research last autumn industrial firms plan to spend 6 per cent

TABLE 1. EXPENDITURE AND OUTPUT

	PERCENTAGE CHANGE IN VOLUME FROM PREVIOUS YEAR		
	1962	1963	1964
Private consumption	5.3	5.0	3.6
Public consumption	1.9	5.6	6.0
Gross fixed asset formation	0.9	2.4	9.1
Stock changes[1]	(1.8)	(2.4)	(10.6)
Total domestic expenditure	0.9	4.7	7.8
Exports of goods and services	8.1	8.9	7.9
Less: Imports of goods and services	5.0	9.8	9.2
Gross national product	1.6	4.4	6.0
of which in:			
Agriculture and forestry	5.8	3.2	5.0
Industry	2.3	3.8	7.3
Building	− 1.8	3.8	9.5
Other	4.0	5.5	4.2

1. Changes in stocks, including statistical discrepancies. Billions of Schilling at 1954 prices.
Source: Österreichisches Institut für Wirtschaftsforschung.

more on gross fixed asset formation in 1965 than in 1964. Investment in the consumer goods industries is expected to contract following a fairly steep increase last year. The enquiry points to much higher outlays in the capital goods industries (27 per cent) and the basic materials industries (10 per cent)[1]. These planned increases are no doubt related to the fact that, with stronger demand, stable wage costs, and better utilisation of capacity, profits in these industries rose sharply in 1964 from a relatively low level in the two preceding years.

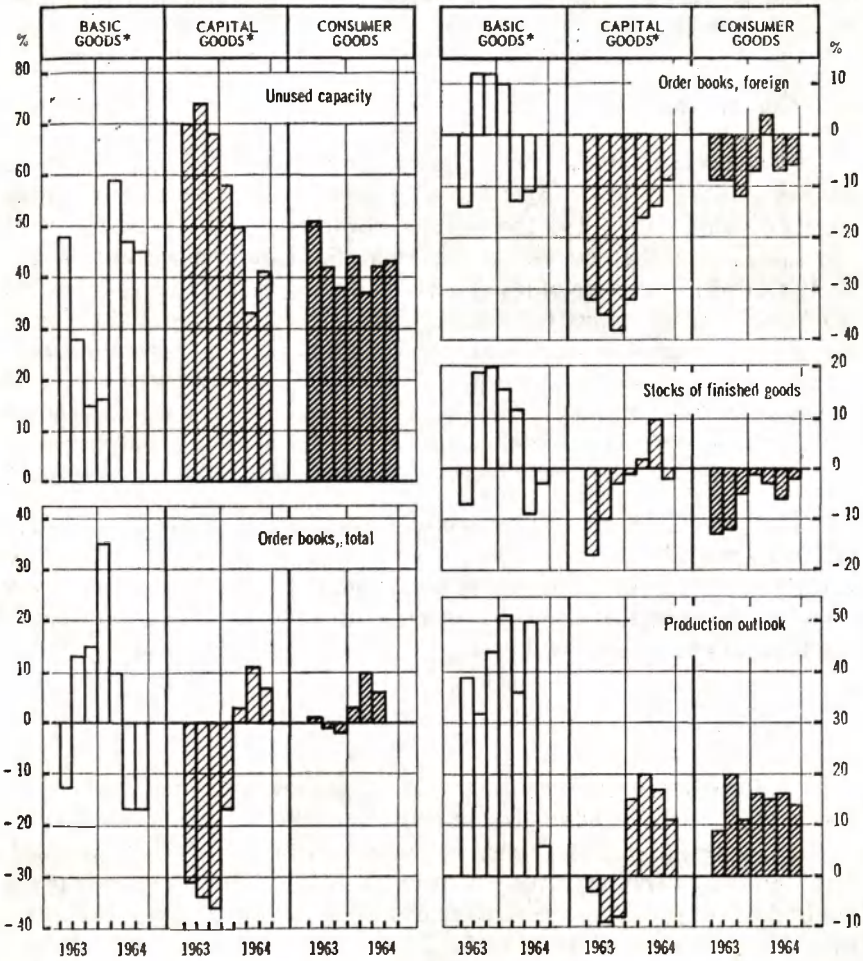
In the public sector expenditure for investment and investment promotion increased significantly in 1964. The federal budget points to some slowdown of the rise in this type of spending in 1965. But in the public sector as a whole, including extra budgetary federal accounts and state and local authorities, investment activity will probably continue to expand steeply.

Inventory changes

The available data on stock changes include statistical discrepancies between product and expenditure estimates of GNP and are not, there-

1. In Austrian statistics building and industrial materials, other than magnesite, oil and petrol, timber and chemicals, are considered as capital goods rather than as basic materials.

Diagram 1. BUSINESS SURVEYS IN MANUFACTURING



* Building materials and intermediate manufactures are included in "Capital goods".

Note : The graphs show the percentage of weighted affirmative replies to question A or the difference between the percentage of weighted replies to question A and B.

	Question A	Question B	
Could output be	raised		with existing plant and labour ?
Are order books	more than adequate	inadequate ?	
Are stocks of finished goods	too small	too big ?	
Is output likely to	rise	fall	in the coming three months ?

The surveys relate to April, July and October 1963 and January, April, July and October 1964.

Source : Österreichisches Institut für Wirtschaftsforschung.

fore, a perfect guide to such changes. They suggest that stockbuilding activity strongly stimulated demand in the year following the turn of the stock cycle in mid-1963 and more than accounted for the faster growth of GNP in 1964 than in the previous year. It affected both raw materials and finished goods. In 1965 net inventory additions will probably be moderately larger than in 1964.

Consumption

Private consumption is likely to resume a faster rate of growth in 1965, following the slowdown experienced in 1964. Last year's development largely resulted from a slackening of the growth of consumers' real incomes and some rise of the personal savings ratio; the latter movement was probably related to a change of income distribution in favour of higher income brackets. The prospects for 1965 are for an acceleration of the rise of consumers' incomes. Most wage contracts fall due for re-negotiation in the present year, and social transfer incomes are likely to be increased rather strongly. Moreover, the rise of the personal savings ratio should not continue, since last year's change of income distribution in favour of income groups with relatively high savings ratios is likely to reverse itself.

The growth of real public consumption may slow down somewhat in 1965 since armament purchases, which rose steeply last year, will be sharply reduced. But in current prices, public consumption may rise faster than in 1964 with the 7 per cent increase of wages and salaries of public employees to be effected in June.

Net imports

National account estimates in 1954 prices show a slight increase of the deficit on the balance of goods and services in 1964. Exports rose roughly at the rate of the previous year, while the growth of imports accelerated. But there was some improvement of terms of trade, and in current prices net imports of goods and services remained about unchanged. The deficit should not change much in 1965.

Industrial capacity

The past year saw some reduction of spare capacity in industry, building and certain service sectors. Between 1963 and 1964 average rates of capacity utilisation went up from 81 to 85 per cent in the capital goods industries, from 86 to 87 per cent in the consumer goods industries, and from 90 to 91 per cent in the basic materials industries. In general, satisfactory levels of plant utilisation were achieved. Yet, in last autumn's business test in industry, 42 per cent of the firms participating reported that they

could raise output without adding to their industrial plant or labour force. The percentage was roughly the same in the three main industrial sectors — basic materials, capital goods, and consumer goods. Industrial capacity is expected to expand by some 4.5 per cent between 1964 and 1965. This would be rather less than the increase estimated for 1964 (5.5 per cent); the revival in investment in the present year will, naturally, not be reflected immediately in larger capacity.

Labour

The labour market has become tighter. In 1964 employment rose by about 22,000 (0.9 per cent). One-fourth of this resulted from absorption of unemployment, which was inflated by unfavourable weather conditions in early 1963. 3 per cent of labour force was out of work on the average in 1964. Data relating to January 1965, seasonally a bad period, showed 4.6 persons unemployed for each reported vacancy; twelve months earlier the ratio had been 5.6. The rise in employment in 1964 was concentrated on the non-industrial sectors; employment in industry fell somewhat. But the decline was small compared with that experienced in the previous year, and in the late months of the year some reversal of the downward trend seems to have taken place. Average working time in industry lengthened somewhat in 1964, after contracting fairly steadily since the middle of the 1950's.

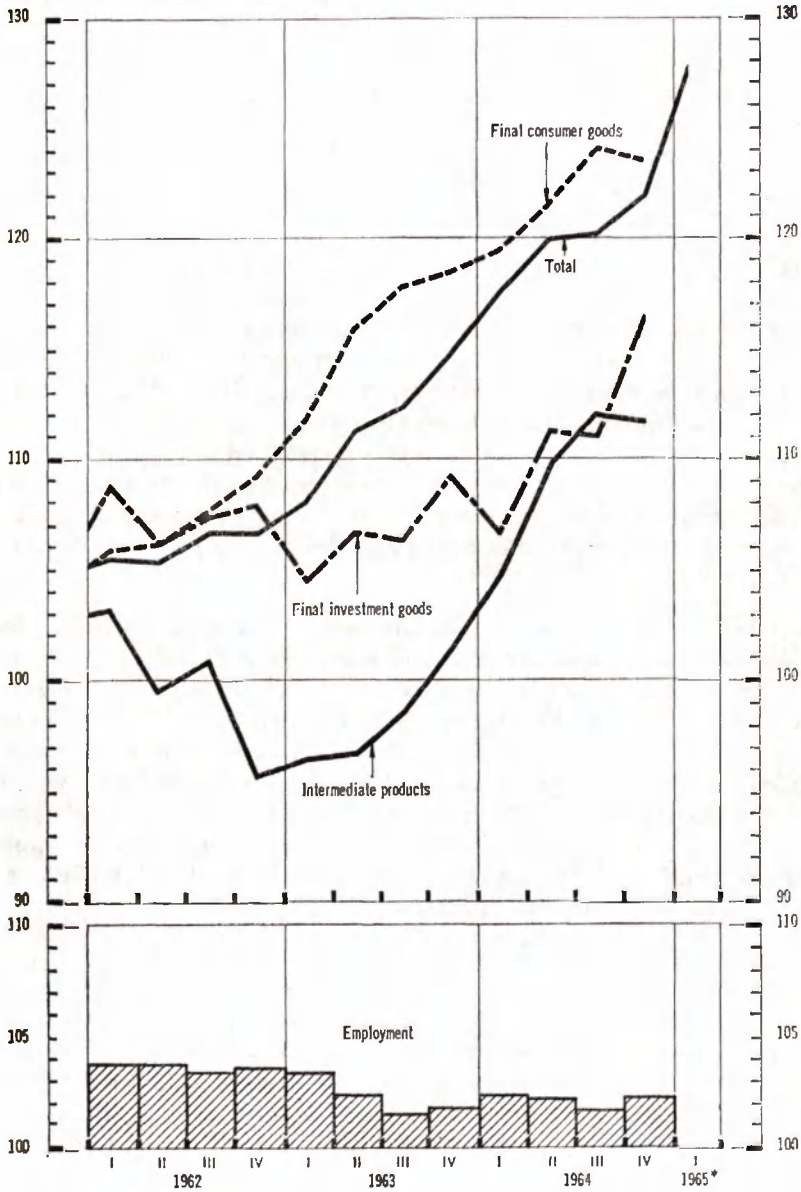
The decline in unemployment has reduced the scope for expanding employment. But it may be possible to increase the intake of foreign labour. At the peak of last year's season, 21,190 persons were employed under the foreign labour quota, roughly one-half more than in 1963. The quota, which provided for 36,000 foreign workers in both years, has been raised by one-fourth for 1965. The tightening of foreign labour policies in Switzerland and the immediate conjunctural situation in Italy should make foreign labour recruitment less difficult and, possibly, also help check the movement of Austrian workers to abroad, although Switzerland and Italy are not the main beneficiaries from that movement.

Output

Prospective demand trends point to some slowdown of the expansion in the present year. In real terms aggregate demand would seem likely to rise by about 5 per cent between 1964 and 1965, with a fairly steady advance throughout the year. Given existing rates of resource utilisation and the growth of capacity, the economy should be able to accommodate an increase in demand of this size without excessive pressure, although conditions in a few sectors (building and construction and some service industries) are likely to remain strained. With normal weather conditions,

Diagram 2. **INDUSTRIAL PRODUCTION AND EMPLOYMENT**

SEASONALLY ADJUSTED INDICES; 1960 = 100



* January only.

Source: Main Economic Indicators, OECD.

activity in building and construction, and in the service trades should rise as fast as last year. But agricultural output is likely to expand less than in 1964. Livestock production will be affected by the tendency of recent years to reduce livestock numbers, and the sharp rise in crop production of the past two years is unlikely to continue. The increase of industrial production may also slow down, mainly because of less strong demand in the basic goods sector; in most industries the rise of output should not be hampered by supply factors.

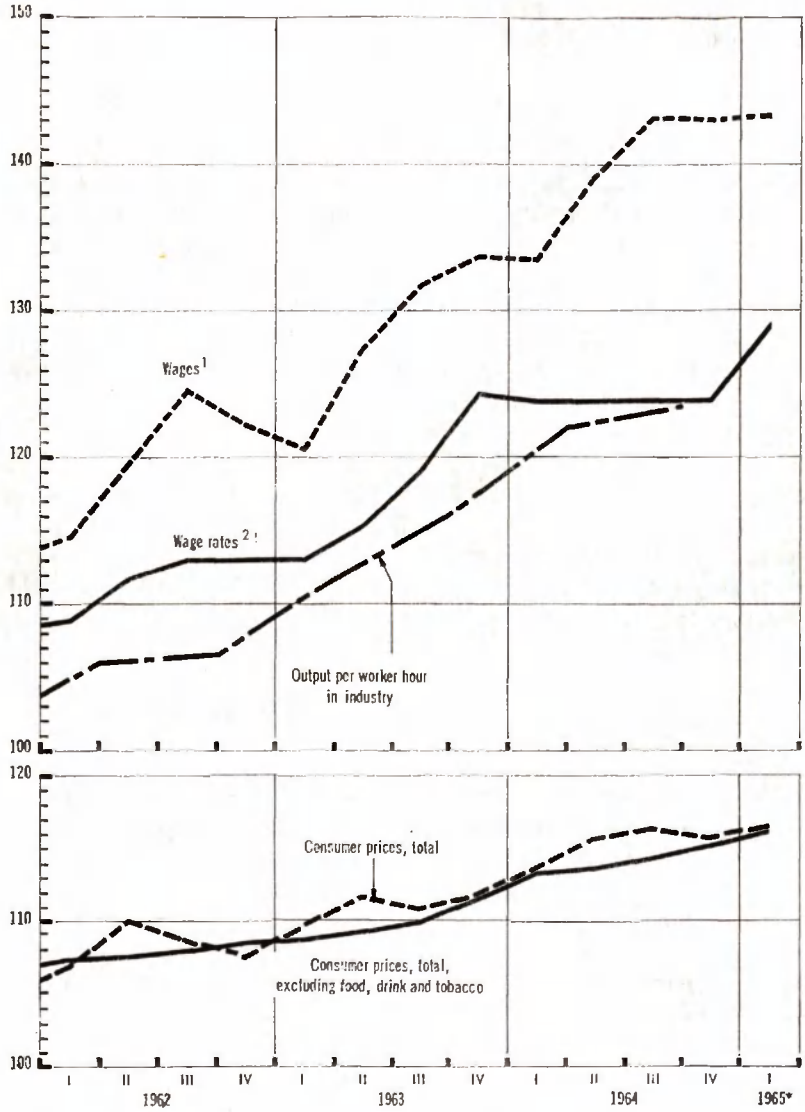
In 1964 as a whole, industrial production went up by 8 per cent, almost twice as fast as in 1963, with little change in trend during the year. On a year-to-year basis the growth rate dropped steadily in the course of the year, but this resulted from the recovery of activity during 1963 rather than from a slowdown of the expansion in the course of 1964. The sharpest increase in output between 1963 and 1964 was achieved in building materials and basic goods (including iron, steel and non-ferrous metals), which benefited from the buoyant building activity and a favourable situation in international steel markets. The increase of production of basic materials, very strong in the first half of the year, fell off in the second half, mainly reflecting the levelling-off of inventory accumulation. The effect of this slackening on the overall index of industrial production was partly offset by a revival of activity in the finished capital goods sector. Output of consumer goods rose steadily but moderately throughout the year; its growth was below the average for industry as a whole, and inferior to the advance recorded by this sector in 1963.

Prices and wages

The trend of prices and wages is likely to be steeper this year than in 1964. Unit labour costs in industry, virtually stable in 1963 and 1964, can be expected to increase. Although the considerable improvement of profit margins during the recent upswing should leave room for some increase of wage costs, the pressure on prices from the cost side may well become stronger. If, as intended, budgetary policy is tightened, and if a liberal import policy for foodstuffs to cope with temporary shortages is pursued, it should, however, be possible to keep the general rise within tolerable limits.

The acceleration of the increase of consumer prices last year (from 2.7 per cent in 1963 to 3.8 per cent in 1964) reflected a less stable development of both food and non-food prices. In late 1963 there had been extensive wage and salary increases and upward adjustments of a number of public charges and controlled food prices. Last summer the cost-of-living index again moved steeply upward as a result of higher meat prices. The pressure on non-food prices eased in the course of the year, with the year-to-year increase dropping from 4.6 per cent in the first quarter to about

Diagram 3. **WAGES, PRODUCTIVITY AND PRICES**
INDICES 1960 = 100



* January only.

1. Gross hourly wages of male industrial and building workers in the Vienna region.

2. Net minimum wages rates for workers in industry and handicraft in the Vienna region.

Source: Monatsberichte des Osterreichischen Institutes für Wirtschaftsforschung; Main Economic Indicators, OECD.

half this rate in the first two months of 1965. In building prices also there was some movement towards stabilisation, although less pronounced than suggested by the official index[1].

In 1964 hourly earnings of industrial and building workers in the Vienna region were on the average 8.9 per cent higher than a year earlier, as against 6.9 per cent in 1963. The somewhat faster growth of weekly earnings (from 6.9 per cent to 10 per cent) suggests that overtime work contributed to the acceleration. Data for gross monthly earnings in industry point to a weakening of the upward trend in the course of the year; the year-to-year increase dropped from 9.9 per cent in the first quarter to 7.1 per cent in the fourth. The rise in earnings reflected adjustments of wage rates negotiated in 1963 and wagedrift.

In 1964 there were no revisions of important collective wage contracts. The index of minimum wage rates for industrial workers in the Vienna region remained stable throughout the year. But it picked up sharply (4.1 per cent) in January 1965, when standard earnings were raised by between 7 and 13 per cent in the building trades, commerce and credit institutions. Pay claims on behalf of about 50 per cent of all wage and salary earners have been recently tabled, and the bulk of remaining collective agreements will come up for revision in the course of 1965. The declared objective of the unions is to reduce the gap between agreed rates and actual wages paid, a gap that has widened considerably over the past year. The adjustment of minimum rates may, therefore, not be fully reflected in actual earnings. Nevertheless the increase of earnings will probably be steeper this year than last. Since it is improbable that the productivity advance will match that of 1964, a tendency for labour costs to rise can be expected in the present year.

Balance of payments

The decline in the overall balance of payments surplus in 1964 can be ascribed to a smaller net capital inflow. The current surplus rose somewhat, as a result of sharply increasing net receipts from unilateral transfers; in 1963, there had been a shortfall of receipts under the German Austrian financial agreement, and Austria had terminated the deliveries to the Soviet Union under the State Treaty. The surplus on goods and services changed little. The strong increase in the trade (c.i.f./f.o.b.) deficit was about offset by a marked rise of net receipts from services, notably tourism.

The growth of merchandise exports accelerated from 5 per cent in 1963 to 7.5 per cent in the first and 10.5 per cent in the second half of 1964. The sharp increase of exports of finished manufactures continued. But the

1. The index of building costs is calculated on the basis of wage rates, rather than earnings, and material prices in building trades of the Vienna region.

TABLE 2. BALANCE OF PAYMENTS

U.S. $ million.

	1962	1963	1964
Current transactions	84	18	57
Merchandise	– 279	– 340	– 419
Imports c.i.f.	– 1,552	– 1,675	– 1,863
Exports f.o.b.	1,273	1,335	1,444
Services	299	346	422
Tourism	280	314	385
Investment income	– 15	– 17	– 21
Other	34	49	58
Unilateral transfers	64	12	54
Capital transactions	113	84	8
Long-term transactions	97	99	27
Loans and credit	67	56	17
Private	22	17	8
Public, incl. electric power plants	45	39	9
Security transactions	15	38	– 2
Direct investments	16	5	11
Short-term transactions	9	– 42	24
Credit institutions	9	– 34	20
Other	(–)	– 8	4
Net payments to international organisations	– 7	– 12	– 35
Other capital transactions	14	40	– 7
Errors and omissions	40	21	– 21
Net increase in official reserves	237	124	44

Source: Österreichische Nationalbank and Secretariat estimates.

main reason for the steeper trend of merchandise exports was the revival of foreign demand for certain basic materials and semi-manufactures, such as magnesite, iron, steel and non-ferrous metals, which weigh heavily in Austrian exports. Timber exports, on the other hand, continued to decline. And domestic supply difficulties necessitated restrictions on exports of livestock and meat.

The growth of merchandise imports also accelerated in the course of last year, partly in response to tariff cuts and trade liberalisation measures. The year-to-year growth rate rose from 7.5 per cent in the first to 17 per cent in the fourth quarter of 1964. Food imports remained stable in the first half of last year, but have since picked up sharply. Imports of machinery also recovered strongly in the later part of the year, following a virtual standstill for more than two years. In contrast, imports of raw materials tended to fall in the second half of 1964, after rising sharply in the preceding months due mainly to stockbuilding activity.

TABLE 3. **MERCHANDISE TRADE**

Percentage change in value from previous year.

	PERCENTAGE DISTRIBUTION IN 1964	1961	1962	1963	1964
Total imports	100	4.9	4.5	7.9	11.2
Food, drinks, tobacco	12	− 15.3	24.3	4.0	5.0
Basic materials, semi-manufactures	41	3.2	− 1.2	9.6	11.5
Finished manufactures, chemicals	47	11.9	5.0	7.6	14.6
Total exports	100	7.3	5.1	4.9	8.9
Food, drinks, tobacco	4	8.6	17.8	12.4	− 10.5
Basic materials, semi-manufactures	59	2.1	0.3	0.4	8.8
Finished manufactures, chemicals	37	10.8	15.9	12.4	20.4

Source: Mitteilungen der Österreichischen Nationalbank.

There was a further marked deterioration of Austria's trade deficit vis-à-vis the EEC countries in 1964 (see Statistical Annex Table V) to $ 409 million ($ 314 million in 1963); this accounted for 98 per cent of the overall trade deficit. In the two years prior to the start of the Common Market, the deficit had averaged $ 88 million, less than two-thirds of the overall deficit. The deterioration in 1964 reflects, as in previous years, difficulties encountered by Austrian exporters in maintaining their relative position in the EEC market. These difficulties were aggravated by disinflationary policies in Italy. The share of exports to the Common Market dropped from 49.9 per cent in 1963 to 47.5 per cent in 1964. EFTA countries took 18.4 per cent of Austrian exports in 1964 as against 16 per cent a year earlier. The pattern of imports remained rather stable, with EFTA and EEC countries increasing only fractionally their share in Austrian imports.

In 1965, the current account is likely to remain in small surplus. The trade deficit may tend to rise. Exports are expected to rise somewhat faster than last year when there was a drop in shipments to certain important markets. The British import surcharges are important for certain commodities, but their adverse effect on Austrian exports as a whole should not be very considerable. (The United Kingdom takes less than 4 per cent of Austria's exports). Imports should rise less than in 1964, but probably faster than exports, given the continued strong advance of home demand. As in 1964, the increase in the trade deficit may be offset by higher tourist earnings. Receipts of unilateral transfers are not likely to change much.

In 1964, the net capital inflow fell substantially. If transactions of the credit institutions are excluded the capital balance moved into deficit for the first time since 1955. The elimination of the previous large surplus was

partly due to special transactions[1] and to some extent may be a reflection of changes in methods of statistical recording[2]. But the greater part of the change was undoubtedly a consequence of the liberalisation of capital transactions and the decline of Austrian interest rates relative to those ruling in certain foreign markets.

Austrian credits to abroad rose from $ 12 million in 1963 to $ 52 million in 1964, largely as a result of public lending to India and Turkey, commercial credits to East European countries and export promotion credits to other countries. Portfolio investment abroad increased in 1964, and exceeded for the first time net foreign investment in Austrian securities. The latter declined sharply in response to the narrowing, or the reversal, of the former net yield differential in favour of Austrian bonds. The Austrian bond market became less attractive to both German and U.S. investors, who had been by far the most important suppliers of foreign funds.

The liberalisation of credit transactions has, however, also stimulated Austrian private borrowing abroad. The total of net credits taken up abroad rose by $ 14 million to $ 74 million in 1964, although the public sector cut its net foreign borrowing by $ 30 million. According to an enquiry conducted by the National Bank, Austrian enterprises borrowed abroad because costs were lower, repayment periods longer, and standards of credit-worthiness less severe than in Austria.

In 1965, capital movements will, to a large extent, depend on the development of interest rate differentials and liquidity conditions at home and abroad. On the basis of present trends, with a fairly general tendency towards tighter credit conditions in Europe, and with stable or falling interest rates and relatively easy credit conditions in Austria, market forces would seem to point to a smaller net capital inflow in the present year. The Federal Government appears determined not to take up new loans abroad, and to reduce its foreign indebtedness by about $ 25 million. But the electric power industry may not follow suit, since it envisages a sharp increase in investment outlays in 1965. In addition, payments to international organisations are likely to fall sharply. And since the deficit on " other capital transactions " may be of a temporary nature, the total net capital inflow may tend to rise somewhat.

1. Transactions with the IMF led to a net outflow of $ 35 million in 1964, as compared with $ 11 million in 1963 and $ 7.5 million in 1962.

2. The 1964 deficit on " other transactions " ($ 7 million) is no doubt related to the fairly big surplus ($ 40 million) recorded for such transactions in 1963. This account reflects pending transfers of balances between banks and miscellaneous unidentified transactions, and should be roughly balanced over a longer period.

Money and credit

The relatively favourable development of the balance of payments, personal incomes and savings permitted an exceptionally steep increase of bank deposits and lending in 1964, and helped to preserve the easy liquidity conditions of the previous year. Bank deposits rose by 14.3 per cent in 1964; in the previous year the increase had amounted to 12.5 per cent. It was particularly pronounced (19 per cent) in savings deposits, which bene-

TABLE 4. SELECTED BANK ASSETS AND LIABILITIES, UNUSED CREDIT MARGINS AND EXCESS RESERVES

Sch. billion and percentages.

	OUTSTANDING END 1964 *Sch. billion*	1962	1963	1964
		INCREASE OR DECREASE *Sch. billion*		
ASSETS:				
Cash and deposits with National Bank and postal savings bank	15.4	2.6	2.3	2.7
Foreign assets	4.4	0.7	1.0	1.7
Federal Treasury certificates and cash bonds	2.9	0.6	– 0.1	– 3.3
Other securities	16.6	1.6	1.6	3.2
Discount credits	9.8	1.1	0.5	0.4
Mortgage and Communal loans	23.1	2.6	3.0	3.4
Other Schilling loans	43.6	2.2	3.4	7.4
LIABILITIES:				
Sight deposits	21.2	2.5	1.8	1.1
Time deposits not exceeding 12 months	3.9	–	–	0.1
Time deposits exceeding 12 months and savings deposits	65.4	7.0	7.0	10.0
Foreign liabilities	4.4	0.8	– 0.1	1.2
Bond issues	8.5	1.1	1.5	1.4
		END OF PERIOD *Percentages*		
Unusued credit margins/credit ceilings		8.4	8.5	9.5
Reserves of first degree[1]/obligatory minimum reserves		139	143	145
Reserves of second degree[1]/obligatory minimum reserves		161	162	151

1. According to the Credit Control Agreement 15 per cent of liabilities are to be held in reserves of first degree liquidity and 25 per cent in reserves of second-degree liquidity. The agreement defines the two types of reserves as follows:

First-degree: cash, deposits with the National Bank and the postal savings banks and a fixed proportion of discountable Treasury bills.

Second-degree: checks, matured interest coupons, securities acceptable as collateral, discountable commercial bills and Treasury bills not held as reserves of first degree.

Source: Mitteilungen der Österreichischen Nationalbank.

fited from the rapid growth of not only personal savings, but also of business profits[1].

The expansion of bank credit amounted to Sch. 11.4 billion in 1964, close to Sch. 4 billion more than the previous peak recorded during the 1960 boom (when, however, borrowing abroad was on a much smaller scale). It can be seen from Table 4 that the steepest rise occurred in " other Schilling loans ". Data relating to the first half of 1964 show that the expansion of those loans largely reflected higher demand by private industry and trade, particularly for medium-term credit (1 to 5 years' duration). Stockbuilding activity may have stimulated the demand for bank credit in that period; in the second half of 1964, on the other hand, business fixed investment was probably the most important factor.

A credit expansion of this magnitude proved possible without eating into unused credit ceilings and bank liquidity. At the end of 1964 credit outstanding fell short of the ceiling[2] then existing by 9.5 per cent, some 1 per cent more than a year earlier, despite a reduction of the permitted ceilings last autumn. The banks had reserves nearly one half larger than they were required to hold under the Credit Control Agreement. The position was slightly more favourable than at the end of 1963 for reserves of first degree liquidity and somewhat less favourable for those of second degree.

New issues of bank bonds contracted slightly in 1964, after a sharp rise in the previous year. At the same time the banks increased their holdings of other long-term bonds substantially more than in 1963. But, in contrast to 1963, the rise of these holdings was more than offset by the big cuts made in the banks' stock of Federal Treasury certificates and cash bonds. The banks sharply increased their net investment abroad in the first three quarters of 1964 but their net foreign exchange position deteriorated relatively strongly in the last quarter.

Capital market

New bond issues, on a substantial upward trend in recent years, rose by more than one fourth in 1964. The increase entirely reflected larger borrowing by the public sector, and notably the Federal Government, which issued Sch. 1 billion more worth of bonds than in 1963. This latter, however, was accounted for by a conversion of Treasury certificates held by the banks. The banks' recourse to the capital market was, as noted above, smaller than in 1963. There were no other private domestic issues, and foreign issue activity remained virtually non-existent.

1. It is fairly common for Austrian business enterprises to keep savings accounts, which are in practice as liquid as sight deposit accounts.
2. The credit ceilings are fixed as a percentage of the bank's liabilities and own capital.

TABLE 5. NEW CAPITAL MARKET ISSUES

Sch. billion.

	1961	1962	1963	1964
Total fixed interest securities	3.03	4.76	5.14	6.56
Total public	2.17	3.14	3.55	5.09
Federal Government	0.80	1.57	2.65	3.60
Länder and towns	0.50	0.40	0.10	0.25
Public funds	0.20	0.22	—	0.20
Electric power companies	0.67	0.95	0.80	1.04
Credit institutions	0.69	1.18	1.53	1.30
Other domestic	0.17	0.33	0.05	0.15
Foreign	—	0.13	0.01	0.07
Equities	0.19	0.04	0.20	..

Source: Mitteilungen der Österreichischen Nationalbank, Monatsberichte des Österreichischen Institutes für Wirtschaftsforschung and Secretariat estimates.

Comfortable liquidity conditions in the banking sector helped to accommodate the larger issue activity in 1964. But insurance companies and other Austrian investors appear to have increased their bond purchases just as fast as the banks. Foreign acquisitions of Austrian bonds, in contrast, declined; foreigners accounted for only one tenth of initial subscriptions, as against one fifth in 1963. The downward trend of Austrian long-term bond yields in 1963 and 1964 no doubt contributed to this drop. Furthermore, yields were tending to increase in certain foreign countries, notably Germany, and measures were taken by the United States authorities which may have discouraged the inflow into Austria.

According to the plans reported to the authorities new bond issue activity in 1965 will be slightly larger than last year. But the weight of the Federal Government in the total will decline. Sch. 2.6 billion worth of new Federal issues are planned, Sch. 1 billion less than last year. In 1964 new Federal bond issue activity was approximately offset by repayment of long-term domestic debt and reduction of the credit institutions' holdings of Federal Treasury papers. In the present year as well, these transactions are expected to be roughly in balance.

The plans for new issue activity, and the favourable outlook for personal savings and bank liquidity, point to relatively stable long-term interest rates. Effective yields to final maturity on new Federal issues fell from about 7.0 per cent to 6.7 per cent in the course of 1963. Since then there has been a further drop by about 0.4 percentage points which has brought yields roughly into line with those ruling in a number of other Member countries.

II. ECONOMIC POLICY

Last year, as in other recent periods when stimulus to demand was considered appropriate, reliance was placed largely on budgetary policy, and particularly on investment spending and promotion. Monetary conditions were kept easy. Partly to check the price rise, further moves were made to liberalize imports and reduce customs tariffs. The problems of creating effective money and capital markets and of providing a new framework for budgetary policy have remained in the foreground of public debate over the past year, and some progress has been made.

Budgetary policy

Federal spending on investment and investment promotion went up by Sch. 1.3 billion, or 17 per cent, in 1964. In the previous year the rise had been 3 per cent only. When the budget was voted in January 1964, it had been planned to freeze some Sch. 1.2 billion of the voted appropriations for investment and investment promotion. But Sch. 0.8 billion were subsequently released and the difference — Sch. 0.4 billion — was offset by unbudgeted spending out of earmarked taxes and budget reserves carried forward.

While total expenditure recorded in the Federal budget for investment and investment promotion, therefore, turned out roughly as forecast, outlays for the other main categories shown in Table 6 (debt redemption excluded) exceeded the budget estimate. Although the rise of receipts was also larger than envisaged, the overall deficit was higher even than that obtaining in 1963, corresponding to some 2.1 per cent of GNP. But the deficit in 1964 was slightly smaller than in the previous year if various transactions which do not have a direct bearing on effective domestic demand are excluded[1]. The final account for 1964 included expenditure of Sch. 1.7 billion for armament purchases abroad and payments to international organisations, transactions for which no provision appears to have been made in the voted budget. In the previous year expenditure under these heads had amounted to only Sch. 0.3 billion.

As in the previous year, the budget deficit was partly financed abroad. Net foreign borrowing by the Federal Government in 1964 came close to the peak recorded in any post-war year (Sch. 0.9 billion in 1961). In the early spring of 1964, however, the decision was taken to discontinue foreign borrowing in order to check the growth of the balance of payments surplus and internal liquidity.

1. Those which can be identified include debt redemption, accumulation or reduction of budget reserves, transfers from abroad, armament purchases abroad, and payments to international organisations.

TABLE 6. THE FEDERAL BUDGET

Sch. billion.

	CLOSED ACCOUNT			VOTED BUDGET		
	1962	1963	1964	1963	1964	1065
RECEIPTS:						
1. Taxes and duties	26.5	28.9	32.1	29.0	30.8	37.0
2. Social insurance contribution	5.3	5.7	6.4	5.9	6.1	6.7
3. Income of state monopolies and enterprises	12.6	13.3	14.0	12.9	14.0	14.6
4. Transfers from abroad	0.9	0.0	0.6	0.5	0.5	0.6
5. Drawings on budget reserves from previous years	0.1	0.1	0.2	—	—	—
6. Other	7.0	7.0	4.8	7.4	4.8	4.9
7. Total	52.4	55.0	58.1	55.7	56.2	63.8
EXPENDITURE:						
8. Wages and salaries	12.6	13.6	14.9	13.2	14.3	15.8
9. Subsidies and transfers	18.3	19.9	21.7	19.8	21.2	22.8
10. Investment and investment promotion	7.4	7.6	8.9	7.8	8.6	9.4
11. Debt redemption	1.2	1.5	1.8	1.6	1.8	2.8
12. Purchases from and payments to abroad	0.2	0.6	1.9	0.3	0.2	0.8
13. Accumulation of budget reserves	0.1	0.2	0.0	—	—	—
14. Other	14.3	15.7	13.5	16.4	14.0	15.2
15. Total	54.1	59.1	62.7	59.1	60.1	66.8
16. Overall deficit	1.7	4.1	4.6	3.4	3.9	3.0
17. Deficit excl. debt redemption (16 less 11)	0.5	2.6	2.8	1.8	2.1	0.2
18. Deficit excl. transactions not directly affecting demand (16 less 11, 12 and 13 plus 4 and 5)	1.2	1.9	1.7	2.0	2.4	—
Net borrowing at home	0.2	1.5	1.5			
Net borrowing abroad	0.5	0.5	0.8			

Source: Ministry of Finance.

NOTE. Data for 1964 and 1965 exclude various transitory items, which inflated receipts and expenditure by Sch. 2.4 billion in 1962 and 1963.

The 1965 Federal budget constitutes a marked departure from those of the last couple of years in that the deficit excluding debt redemption — Sch. 2.8 billion last year and Sch. 2.6 billion in 1963 — is expected virtually to disappear. There are, however, reasons to expect that Federal finance will continue to provide relatively strong support to the economy, and particularly to investment activity, in the current year. The 1965 budget appropriations suggest a marked drop in the growth of spending on investment and investment promotion. But they include neither investment financed out of extra-budgetary funds, whose deficit may well increase

by as much as Sch. 0.5 billion in the current year, nor the Sch. 0.3 billion of investment spending accorded the Ministry of Transport out of next year's budget revenue. Altogether, therefore, it is likely that the growth of Federal spending (budgetary and extra-budgetary) on investment and investment promotion will slow down only moderately in the present year.

It should be possible to show a lower Federal deficit this year than last year. According to the voted budget the internally effective deficit will be reduced by Sch. 1.7 billion, a cut which corresponds to 0.7 per cent of GNP. The appropriations do not allow for the 7 per cent adjustment of wages and salaries in the Federal service in June 1965. But it is planned to offset the resulting Sch. 0.9 billion increase of the Federal pay bill by cuts of spending in other areas and higher indirect taxation. The voted budget foresees a rise of tax revenue by 15 per cent in 1965, despite the elimination of the property surtax which accounted for 1 per cent of the total last year. In 1964, when GNP rose slightly faster than it is expected to do this year, fiscal revenue did not increase by more than 11 per cent.

It is the intention of the authorities to offset any shortfall of receipts that might develop by expenditure cuts. The Minister of Finance is authorised to reduce outlays in the ordinary budget for which no legal obligations exist (e.g. administrative expenditure, subsidies other than price subsidies, credit, and capital transfers). On the other hand, he is no longer allowed to exceed budget appropriations if receipts should turn out bigger than budgeted. The only exception to this rule concerns income from Federal enterprises, which is earmarked for expenditure in those enterprises. There has, thus, been some tightening of the discretionary powers accorded the Minister of Finance. Last year, he was authorised, if revenue permitted, to exceed expenditure authorisations by up to Sch. 15 million for each budget item, providing that the outlay under no item was thus increased by more than one fifth. In earlier years the Minister of Finance could spend beyond budget appropriations more or less as seemed fit.

The arrangements in force in the current year are to be replaced by new legal provisions. The possibility is being considered of introducing a contingency budget, which could come into effect during the budget period with the prior consent of Parliament. Spending below or above budget appropriations would, in principle, also be subject to Parliament approval. These arrangements, intended to reinforce parliamentary control of budget execution, could hamper the conduct of a flexible budgetary policy. For its success such a policy depends, inter alia, on the possibility of taking prompt action, unobstructed by lengthy procedures.

Monetary policy

The relatively easy monetary policy of 1963 was continued until last autumn, and was slightly tightened thereafter. Minimum reserves were

raised, credit ceilings were lowered and provisions were made for the temporary freezing of a part of the banks' foreign assets. Substantial progress has been made over the past year in preparing the ground for an adequately functioning money market and an open market policy.

In November minimum reserve requirements were raised from 8 per cent to 9.5 per cent for savings deposits and from 10 per cent to 11.5 per cent for sight deposits. The adjustment meant absorption of Sch. 1.3 billion worth of liquid reserves. At the end of the month excess reserves stood at Sch. 0.7 billion, about one third of their level a year earlier. The reduction of credit ceilings, undertaken simultaneously, amounted to 2 percentage points and cut unused credit margins by Sch. 1.4 billion. At Sch. 5 billion in November, however, these margins remained substantially higher than 12 months earlier.

In September the banks agreed to refrain from repatriating, for a period of six months, Sch. 1.7 billion of the Sch. 6.5 billion worth of assets held abroad. The National Bank undertook to cover the exchange risk for the assets frozen at a rate which implied a premium of about 0.3 per cent as compared with costs ruling in the market. Agreement has recently been reached to continue the freezing of these funds until end-May 1965.

Moves to provide the monetary authorities with an important new policy instrument — open market operations — included action to reduce the outstanding stock of Treasury paper unsuitable for such operations and legislation permitting the issue of genuine money market paper. Since the spring of last year, the stock of the former issues has been reduced by roughly two thirds, or by Sch. 4.1 billion, of which Sch. 0.8 billion were withdrawn in the spring of 1965. A further cut by Sch. 1 billion, is planned in the current year. Most of the paper withdrawn during the past year could be rediscounted at the National Bank. Since it carried relatively attractive interest rates (2.5 - 3.5 per cent p.a.) and qualified as holdings under the minimum reserve and first-degree liquidity requirements, it tended to remain immobile in the portfolio of the banks. Altogether Sch. 3.0 billion of the Sch. 4.1 billion of Treasury paper withdrawn over the past year were either elligible as holdings under these requirements or converted into long-term Federal bonds. These withdrawals did not, therefore, greatly affect liquidity conditions in the banking sector.

Last February Parliament voted a law which provides for the conversion of Sch. 3 billion worth of Federal debt vis-à-vis the National Bank into a new type of Treasury certificates. These certificates will carry an interest rate of 2 per cent p.a. and run for periods of 3, 6 and 24 months. The Bank will be in a position to determine their purchase and selling price. They will not qualify as holdings under the minimum reserve and first-degree liquidity requirements.

Trade policy

The process of dismantling import restrictions and customs tariffs was continued over the past year. Customs tariffs were abolished for tea and coffee and lowered for certain other commodities. Furthermore, import equalization taxes were removed for goods which, in 1963, accounted for 6 per cent of total imports. Non-agricultural imports, with the exception of 14 items, are now fully liberalized from all GATT countries other than Czechoslovakia, Japan and Cuba.

In the spring of 1965 negotiations were started in Bruxelles with a view to arriving at an arrangement with the EEC countries. The Austrian authorities consider that uncertainty as regards the future position of Austria's exports to the Common Market (such exports account for 9 per cent of GNP) has adversely affected her economic development in recent years, and notably business fixed investment.

The Advisory Council for Economic and Social questions

Most of the policy measures outlined above were part of a stabilization programme prepared by the Advisory Council for Economic and Social Questions[1] in February 1964. In that programme the Council recommended immediate action on import restrictions and customs tariffs and campaigns of exhortation for greater restraint in the price/wage field. It pointed to further measures which could be taken if demand became excessive. These included quantitative credit restrictions, based on the amount of outstanding credits of individual banks, considered to be more effective than the tightening of credit ceilings and minimum reserve requirements, and measures to reduce or neutralize the surplus on the capital account of the balance of payments, notably swap arrangements and the cessation of Government borrowing abroad. The Council also stressed the need to prepare the ground for lowering interest rates and doing away with the practice, widespread in the trade sector, of granting individual price rebates (" grey markets ") instead of general price reductions.

The Council followed up its February stabilisation programme by a new set of recommendations in the summer. It again emphasized the need to act on foreign trade policy and in respect of " grey markets " and advised that credit expansion should be carefully watched. In addition recommendations were made on a number of new policy issues. The Council considered that the Federal budget for 1965 should provide for a deficit no larger than planned debt redemption, that the foreign labour quota for 1965 should be raised by one quarter and made into a global quota, that the Price

1. This Council, set up in October 1963, serves as an advisory body to the Price and Wage Commission and undertakes studies and investigations at the request of the latter.

and Wage Commission should exercise restraint in approving wage and price increases, and that the rise of meat prices in August should be cancelled. These recommendations were supported by the Price and Wage Commission and were followed by Government action along the lines suggested.

The Council has also been concerned over the past year with problems of a longer-term nature relating to the capital market, the Federal budget, prices and wages. As regards the capital market, the Council last summer published proposals aiming at enlarging demand and supply in the market and opening it up more fully to different groups seeking investment funds or outlets. To increase the demand for funds in the market, the Council proposed the abolition of the issue tax on domestic securities, the reduction of the stock exchange turnover tax, and the conversion of bank loans for investment into fixed interest securities. To stimulate the supply of funds to the market the Council recommended the abolition of the tax on life insurance policies, and the relaxation of rules governing the investment policies of certain institutional investors, notably insurance companies and savings banks. The present rules prevent institutional investors from acquiring securities other than those of the Federal Government and the electric power plants. The Council also pointed to the need for setting up an Austrian bank for security transactions (" Wertpapiersammelbank "), to simplify and make less costly issue and administration. The Council considered that all these recommendations could be carried out promptly. A more complete set of proposals for capital market action was worked out by the Council in the spring of 1965.

In the autumn the Council published a study outlining certain recommendations in the field of Federal budget policy. It suggested that total Federal receipts and expenditure should be estimated for a four-year period and, in certain areas of spending, over an even longer period. Questions relating to contra-cyclical budgetary policy are currently being studied by the Council, and a working party was recently set up to consider problems of debt management. The Council's concern with prices and incomes has so far been restricted to a statistical analysis of price and income developments over recent years. The Council has not come forth with any policy recommendations in this area.

Stabilisation policy in 1965

Given the prospects for a reasonably balanced overall demand-supply situation in the current year, there appears to be no marked need for a reorientation of demand-management policy. Nevertheless, it would seem reasonable to take advantage of the continued strong trend in private demand to try to reduce the overall Federal budget deficit. A reduction of last year's heavy deficit could relieve the domestic capital market, increasing the scope for private borrowing, and reduce the need for the Government

to borrow abroad. It might also make it easier to secure adequate demand stimulus through the budget in future periods of conjunctural slack. Action to reduce the budget deficit would fit in with the present conjunctural situation insofar as it included measures to check the rise in public investment and, thus, to ease the strain on the building industry.

Although overall demand should develop roughly in step with potential supply, cost and price pressures may well strengthen in individual sectors, and wage costs in general are likely to be less stable than last year. In these circumstances it would clearly be preferable to take action which was likely to have a fairly direct effect on prices and costs, rather than measures which would affect the price situation only via their impact on demand. Further trade liberalisation, including a more flexible import policy for agricultural products, should help to stabilise prices. And a more active labour market policy, removing obstacles to geographical and occupational mobility could help to ease the pressure on wages, at least in the longer run. If the rate in wages, profits and other non-wage incomes should threaten the maintenance of reasonable price stability, the authorities may be obliged to take measures to restrict demand notably through monetary policy. This would be regrettable in the absence of any serious imbalance between supply and demand. Any action by the authorities to persuade labour, management and farmers to show moderation in their claims for higher incomes will, therefore, be useful.

III. CONCLUSIONS

Developments in the Austrian economy in the current year are unlikely to depart much from those characterising 1964. Output and demand should expand at a satisfactory rate with little risk that demand will become generally excessive. The overall balance of payments surplus, which declined sharply in 1964, partly because of policy measures, may tend to rise somewhat, but should remain well below the surpluses of earlier years. Cost and price conditions will probably give rise for concern. A tightening of general demand management would not seem to be the appropriate means of dealing with them; but given the limited scope for action with a direct and immediate impact on the price-wage situation, the authorities might be unable to avoid such a tightening if the situation deteriorated. This underlines the importance, for all parties concerned, of co-operation in the efforts being made by the authorities to keep the rise in nominal incomes within tolerable limits.

STATISTICAL ANNEX

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Table I. NATIONAL PRODUCT

Billion Schillings

	1961	1962	1963	1964	1961	1962	1963	1964
Expenditure:	*Current prices*				*1954 prices*			
Private consumption	105.4	115.4	125.2	133.7	90.9	95.8	100.5	104.1
Public consumption	22.6	24.3	27.4	30.7	14.0	14.3	15.1	16.0
of which: Defense	1.9	2.1	2.6	..	..	..	..	..
Gross domestic fixed capital formation	43.9	44.8	47.8	53.6	34.6	34.3	35.2	38.4
of which: Construction	20.6	20.9	23.0	26.4	15.0	14.7	15.3	16.9
Machinery and equipment	23.3	24.0	24.8	27.2	19.7	19.6	19.9	21.5
Change of stocks, incl. statistical discrepancies	6.4	1.6	– 0.1	2.4	5.3	1.8	2.4	4.6
Exports of goods and services	42.1	45.9	50.5	56.2	37.0	40.0	43.6	47.0
Less: Imports of goods and services	43.0	45.4	50.7	56.8	42.0	44.1	48.4	52.9
Gross national product at market prices	177.5	186.7	200.1	219.8	139.9	142.1	148.3	157.2
Industrial origin:								
Agriculture, forestry and fishing	18.9	17.9	19.0	20.4	16.8	15.8	16.3	17.1
Manufacturing, mining and public utilities	74.0	77.9	82.2	91.0	62.9	64.4	66.8	71.8
Construction	15.5	15.8	17.7	20.1	10.3	10.1	10.5	11.3
Other	69.1	75.1	81.2	88.3	49.9	51.8	54.7	57.0
Distribution of national income:	*Current prices*				*Current prices, percentage distribution*			
Compensation of employees	83.1	91.0	98.1	107.0	60.8	63.6	64.4	63.8
Income from property entrepreneurship	42.6	40.4	42.0		31.2	28.2	27.5	
Savings of corporations	5.8	6.7	7.7	60.7	4.3	4.7	5.1	36.2
Direct taxes on corporations	4.7	4.8	4.7		3.4	3.4	3.1	
Government income from property and entrepreneurship	1.9	1.7	1.8	1.8	1.4	1.2	1.2	1.1
Less: Interest on public debt	1.5	1.6	2.7	1.8	1.1	1.1	1.1	1.1
National Income	136.7	143.0	152.6	167.7	100.0	100.0	100.0	100.0

Source: Monatsberichte des Österreichischen Institutes für Wirtschaftsforschung.

Table II. OUTPUT, EMPLOYMENT, WAGES AND PRODUCTIVITY IN INDUSTRY

Indices, 1956 = 100.

	1962	1963	1964	1963				1964			
				1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
Output:											
Seasonally adjusted	135.9	141.6	152.4	136.4	139.2	141.3	145.5	149.0	151.7	152.4	154.5
Not seasonally adjusted	135.9	141.6	152.4	131.3	144.7	137.1	154.0	143.2	156.1	146.6	163.5
Mining	102.6	99.4	103.3	96.6	98.7	100.1	102.2	101.7	104.2	101.7	105.4
Basic materials	126.5	136.5	153.6	126.9	139.6	136.3	143.8	158.2	162.1	144.1	150.0
Investment goods	134.8	134.8	150.6	120.4	141.2	133.5	145.0	129.2	153.9	146.9	157.1
of which: Building materials	152.9	163.9	184.6	93.6	191.6	196.7	173.5	111.8	213.6	224.4	188.5
Machinery and equipment	127.4	126.1	132.2	115.5	131.1	117.9	141.5	118.5	135.9	123.3	151.2
Consumer goods	139.3	149.7	157.6	141.1	150.9	139.8	167.1	150.9	158.3	146.9	174.3
of which: Food, drink and tobacco	124.8	134.9	136.9	114.4	124.4	125.9	175.4	121.2	126.1	124.3	175.9
Clothing	135.6	144.2	149.2	144.5	149.8	131.3	152.2	150.9	156.3	136.1	153.6
Durable goods	149.9	156.7	169.9	144.4	162.9	145.4	175.8	162.2	170.4	158.4	188.6
Employment:											
Seasonally adjusted	108.7	107.2	107.0	108.1	107.1	106.3	106.6	107.1	107.0	106.5	107.0
Average paid work hours	93.9	93.6	94.0	92.1	93.5	94.4	94.6	92.4	94.2	94.9	94.4
Wages and productivity:											
Monthly gross earnings of employees	148.9	157.8	172.4	139.9	151.0	160.0	180.4	153.7	169.5	172.9	193.3
Output per employee	125.0	132.1	142.7	122.0	135.6	128.4	143.0	135.5	146.3	137.4	151.7
Unit labour costs	119.1	119.5	120.8	114.7	111.4	124.6	126.2	113.4	115.9	125.8	127.4

Sources: Main Economic Indicators, OECD; Statistische Übersichten, Österreichisches Institut für Wirtschaftsforschung.

TABLE III. RETAIL SALES AND PRICES

Indices, 1958 = 100.

	1962	1963	1964	1963				1964			
				1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
RETAIL SALES:											
Total, in current prices	140.5	150.3	158.9	128.1	139.0	146.5	187.5	138.3	138.3	144.8	195.7
Non durables	140.0	149.5	157.9	131.0	139.5	145.2	182.3	139.9	145.4	155.0	191.1
of which: Food and drinks	142.2	151.7	161.5	139.5	144.9	150.3	172.0	150.2	153.3	160.4	182.2
Clothing	129.0	135.0	140.1	98.6	126.4	116.8	198.1	107.2	127.5	125.2	200.6
Durables	144.3	154.6	164.0	109.2	135.6	154.3	219.3	127.7	141.6	162.8	223.9
of which: Household goods and furniture	139.6	150.5	161.2	102.2	135.1	153.6	210.9	123.4	141.7	162.5	217.0
PRICES:											
Cost of living	111.4	114.4	118.8	113.0	115.2	114.3	114.9	117.0	118.1	119.9	119.3
of which: Food	110.9	114.6	118.9	113.3	117.3	114.3	113.5	115.9	119.8	120.8	118.9
Clothing	108.5	110.3	113.1	109.3	110.0	110.4	111.5	112.3	112.7	113.2	114.3
Household goods and furniture	112.8	114.4	118.5	113.4	113.8	114.3	115.9	118.0	118.5	118.8	118.7
Rent	119.8	124.1	130.7	121.3	123.0	124.9	127.0	128.1	129.4	131.8	133.7
Wholesale prices of basic materials	109.7	107.9	113.6	106.9	109.4	105.6	109.5	111.4	113.0	114.7	115.3
Foodstuffs	109.8	105.7	111.8	104.8	108.5	101.8	107.8	108.8	111.4	113.8	113.6
Industrial materials	109.4	110.7	115.8	109.7	110.5	110.8	111.6	114.9	115.3	115.8	117.5
Building prices (in Vienna)	118.5	125.5	129.9	119.4	126.3	128.0	128.0	129.6	129.6	129.8	131.2
Labour	129.2	139.4	144.4	129.4	140.3	144.0	144.0	144.4	144.4	144.4	144.4
Building materials	109.0	112.9	116.9	110.4	113.8	113.8	113.8	116.3	116.3	116.7	118.3

Source: Statistische Übersichten, Österreichisches Institut für Wirtschaftsforschung.

TABLE IV. MONEY AND BANKING

End of Period.

	UNIT	1961	1962	1963				1964				1965
				1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.[1]
INTEREST RATES:												
Discount rate	per cent	5.0	5.0	5.0	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5
Sight deposits	—	0.75	0.75	0.75	0.75	0.75	0.75	0.75	0.75	0.75	0.75	0.75
Savings deposits (less than 6 months notice)	—	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5
Time deposits (notice of 12 months and over)	—	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5
MONETARY CIRCULATION AND EXTERNAL RESERVES:												
Notes and coins in circulation	billion schillings	22.3	23.9	23.4	25.1	25.3	25.7	25.0	26.8	27.1	27.7	27.2
Sight liabilities of the National Bank	—	6.3	9.0	8.9	8.4	10.2	10.3	10.3	10.5	11.8	12.7	12.2
Gross external reserves of the National Bank	—	21.4	27.3	27.0	27.9	30.6	30.9	30.1	30.2	31.4	32.2	30.5
of which: Gold	—	7.8	11.7	12.5	13.0	13.0	13.8	14.6	15.2	15.5	15.5	15.8
CREDIT INSTITUTIONS:												
Credits to non-banks, total	—	52.4	57.2		60.3		64.4		69.4		75.8	(77.5)
Short-term	—	25.2	25.8		25.8		26.0		27.7		29.3	
Medium-term (1 to 5 years)	—	9.6	10.7		11.6		12.6		14.1		15.8	
Long-term	—	17.5	20.7		22.8		25.8		27.6		30.7	
Deposits from non-banks, total	—	60.9	70.4	71.8	72.9	76.5	79.2	81.9	83.4	88.4	90.6	92.8
Sight	—	15.8	18.3	17.0	17.4	19.5	20.1	20.0	20.2	22.2	21.2	20.8
Time	—	8.0	8.9	9.3	9.6	9.7	9.2	9.4	9.6	10.4	10.1	10.7
Savings	—	37.1	43.2	45.5	45.9	47.3	49.9	52.5	53.6	55.8	59.2	61.4
Treasury bill holdings	—	5.6	6.4	6.4	6.4	6.3	6.2	6.2	3.4	3.1	2.9	2.5
Other security holdings	—	10.2	11.8	11.6	12.1	12.2	13.4	14.0	15.6	16.1	16.6	16.6
Foreign assets	—	1.0	1.7	2.0	2.4	3.7	2.7	4.1	4.7	6.5	4.4	4.9
Foreign liabilities	—	2.5	3.3	2.7	3.2	2.9	3.1	2.9	3.2	3.1	4.4	3.4

1. Except for interest rates data relate to the end of February.

Source: Mitteilungen des Direktoriums der Österreichischen Nationalbank.

Table V. MERCHANDISE TRADE BY COMMODITY GROUP AND AREA

Monthly averages, million schillings.

	IMPORTS				EXPORTS			
	1961	1962	1963	1964	1961	1962	1963	1964
Total	3,217	3,362	3,630	4,037	2,605	2,738	2,873	3,130
Food, drinks, tobacco	370	460	478	502	119	135	158	141
Raw materials	445	393	416	472	452	427	420	430
Mineral fuels, energy	288	317	357	355	54	65	68	92
Chemicals	271	287	309	352	127	135	158	147
Machinery and transport equipment	1,003	1,027	1,086	1,204	462	533	576	640
Other	839	878	983	1,151	1,390	1,442	1,493	1,683
OECD countries	2,584	2,692	2,851	3,233	1,847	1,980	2,095	2,281
EEC countries	1,915	1,992	2,116	2,374	1,291	1,369	1,435	1,488
of which: Germany	1,379	1,423	1,501	1,685	715	765	758	872
Italy	255	275	281	301	397	420	479	385
France	125	130	154	184	54	57	67	77
EFTA countries	408	439	498	580	374	415	458	577
of which: United Kingdom	162	170	195	215	80	78	112	141
Switzerland	151	167	187	219	157	197	195	246
USA	191	187	172	208	100	106	109	124
Other OECD countries	70	74	65	71	82	90	93	92
Non-OECD countries	633	670	779	804	758	758	778	849
Eastern Europe and USSR	386	426	502	487	457	479	502	547
Africa	73	63	70	89	60	60	61	71
Latin America	57	58	71	80	60	47	33	41
Asia	82	82	85	92	128	121	132	132
Other	35	41	51	56	53	51	51	58
Volume (index, 1961 = 100)	100	105	113	(127)	100	106	113	(121)
Price (index, 1961 = 100)	100	100	100	(99)	100	99	98	(99)

Sources: Statistische Übersichten, Österreichisches Institut für Wirtschaftsforschung; Mitteilungen des Direktoriums der Österreichischen Nationalbank.

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